THE PINCH OF PRICES

Despite the Centre's reassurances about the economy's performance, **the optimism of the Indian citizen, hit hard by rising prices and unemployment, has been waning.** Managing the economy continues to be the ruling dispensation's biggest challenge

By **M.G. ARUN & SHWWETA PUNJ**



ANI

The NDA government, under Prime Minister Narendra Modi, which assumed power for a second time in May 2019, has had to face a series of disastrous global headwinds. It started with three bouts of the Covid pandemic that led to widespread loss of life and livelihoods, followed by high inflation and a weak currency after Russia launched its long-drawn invasion of Ukraine earlier this year. The world is now staring at a probable recession, which has added to the uncertainty.

Policymakers could take heart from a recent Bloomberg survey that said that India has zero probability of slipping into recession, unlike other economies, including some parts of Asia, Europe and the US. Finance minister Nirmala Sitharaman, while speaking in Parliament on August 1, affirmed that India's economic fundamentals are looking good and that the country is neither facing a recession nor stagflation (characterised by zero economic growth and high inflation).

Technically, the finance minister is correct, but on the ground, as INDIA TODAY's Mood of the Nation (MOTN) poll shows, the Indian citizen's optimism is fading. Nearly 29 per cent of respondents, the highest since February 2016, rated the Modi government's handling of the economy as 'poor' or 'very poor'. While 48 per cent of those who were surveyed termed the handling of the economy as 'outstanding' or 'good'—this was down from 51.9 per cent in January. To the question of a change in one's economic status, 35. 5 per cent said it has deteriorated, up from 31. 9 per cent in January. Such deterioration was last seen in August 2017, when 37 per cent of the respondents reported a decline. The Modi government has been credited with a slew of reforms—from the introduction of the Goods and Services Tax (GST) to the Bankruptcy Code and the experiment of demonetisation. However, anecdotal evidence suggests that most of these measures—especially demonetisation and GST—led to a disruption at the grassroots level. Hundreds of thousands of small and medium enterprises struggled with the adoption of the new tax system. Having said that, tax collections have gone up substantially since the introduction of GST. In June, they crossed Rs 1.40 lakh crore, a 56 per cent increase year-on-year. Currency per capita works out to Rs